Contents

AMIS MARKET MONITOR

No.36 – March 2016

Roundup

In spite of small downward adjustments to 2015 wheat, maize and rice production this month, the overall supply prospects for these three AMIS crops remain favourable. Soybeans markets are also well supplied, with the latest forecast for 2016 global inventories raised to above their already record opening. The early outlook for wheat production in 2016 points to only a small decrease from the 2015 record.

Markets at a glance

	From previous forecast	From previous season
Wheat	▼	▲
Maize	▬	▬
Rice	▬	▲
Soybeans	▼	▼

▼ Easing ▬ Neutral ▲ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations that form the AMIS Secretariat. Visit us at: www.amis-outlook.org

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World supply-demand outlook

in million tonnes

- **Wheat** production in 2015 lowered by 3.8 million tonnes, mostly because of cuts in India and Iran.
- Utilization in 2015/16 reduced, with most of the revision in India and Iran.
- Trade in 2015/16 is forecast to contract by 2.5 percent, reflecting lower imports by Iran, Morocco, Turkey and Uzbekistan.
- Stocks (ending in 2016) cut by 5.6 million tonnes, on lower ending inventory levels in Iran and Uzbekistan.

	FAO-AMIS 2014/2015 est.	FAO-AMIS 2015/2016 f'cast 4-Feb	FAO-AMIS 2015/2016 f'cast 3-Mar	USDA 2014/2015 est.	USDA 2015/2016 f'cast 9-Feb	IGC 2014/2015 est.	IGC 2015/2016 f'cast 25-Feb
Production	729	737	733	726	736	728	732
Supply	912	943	933	920	950	916	932
Utilization	711	729	724	705	711	716	719
Trade	155	151	152	164	163	153	152
Stocks	200	211	205	215	239	200	213

- **Maize** output in 2015 revised down by 3.7 million tonnes, reflecting reduced production estimates for India, Iran, Mexico and Myanmar.
- Utilization in 2015/16 showing a small expansion, by only 0.2 percent, mostly for feed.
- Trade in 2015/16 is likely to remain flat despite larger imports by the EU and several countries in southern Africa.
- Stocks (ending in 2016) lowered by 1.3 million tonnes, mostly on reductions in Brazil, India, Indonesia and Iran.

	FAO-AMIS 2014/2015 est.	FAO-AMIS 2015/2016 f'cast 4-Feb	FAO-AMIS 2015/2016 f'cast 3-Mar	USDA 2014/2015 est	USDA 2015/2016 f'cast 9-Feb	IGC 2014/2015 est.	IGC 2015/2016 f'cast 25-Feb
Production	1034	1004	1000	1009	970	1016	969
Supply	1218	1220	1217	1184	1176	1198	1177
Utilization	999	1001	1001	978	967	990	971
Trade	128	128	128	140	119	125	126
Stocks	218	219	218	206	209	208	206

- **Rice** production in 2015 lowered, on worsening expectations for crops in India, but also Afghanistan, Bangladesh and Iran.
- Utilization in 2015/16 to grow by only 1.1 percent, but still exceed global production.
- Trade in 2016 forecast slightly lower, reflecting a downscaling of imports by the Philippines and Sri Lanka.
- Stocks (ending in 2016) anticipated to decline, with much of the drawdown in India and Thailand, but also in Africa and North America.

	FAO-AMIS 2014/2015 est.	FAO-AMIS 2015/2016 f'cast 4-Feb	FAO-AMIS 2015/2016 f'cast 3-Mar	USDA 2014/2015 est.	USDA 2015/2016 f'cast 9-Feb	IGC 2014/2015 est.	IGC 2015/2016 f'cast 25-Feb
Production	495	492	491	478	470	479	474
Supply	666	664	664	586	573	592	582
Utilization	493	498	498	482	484	483	486
Trade	45.0	45.4	45.3	43.7	41.6	42.7	41.9
Stocks	173	167	167	103	89	109	96

- **Soybeans** 2015/16 production poised to exceed last year's record, although only marginally.
- Global utilization revised downward slightly, on lower crush estimates for the US and Brazil.
- Trade in 2015/16 to increase by 4.4 percent, marking a more subdued expansion because of a slowdown in China's import growth.
- Stocks estimate (2015/16 carry-out) adjusted upward by 0.8 million tonnes, leading global inventories to exceed last season's all-time record by 5.5 percent.

	FAO-AMIS 2014/2015 est.	FAO-AMIS 2015/2016 f'cast 4-Feb	FAO-AMIS 2015/2016 f'cast 3-Mar	USDA 2014/2015 est.	USDA 2015/2016 f'cast 9-Feb	IGC 2014/2015 est.	IGC 2015/2016 f'cast 25-Feb
Production	320	320	320	319	321	321	321
Supply	352	366	366	381	398	353	365
Utilization	302	319	318	301	315	310	321
Trade	126	132	132	126	130	127	129
Stocks	46	47	48	77	80	43	44

i **FAO-AMIS monthly forecast**

For latest revisions to FAO-AMIS monthly forecasts for 2015/16 see next page.
To review and compare data, by country and commodity, across the three main sources, go to
http://statistics.amis-outlook.org/data/index.html#COMPARE

Estimates and forecasts may differ across sources for many reasons, including different methodologies. All changes, in absolute or percentage terms, reported in the supply/demand commentaries are calculated based on unrounded figures. For more information see the last page of this report.

Summary of revisions to FAO-AMIS monthly forecasts for 2015/16

in thousand tonnes

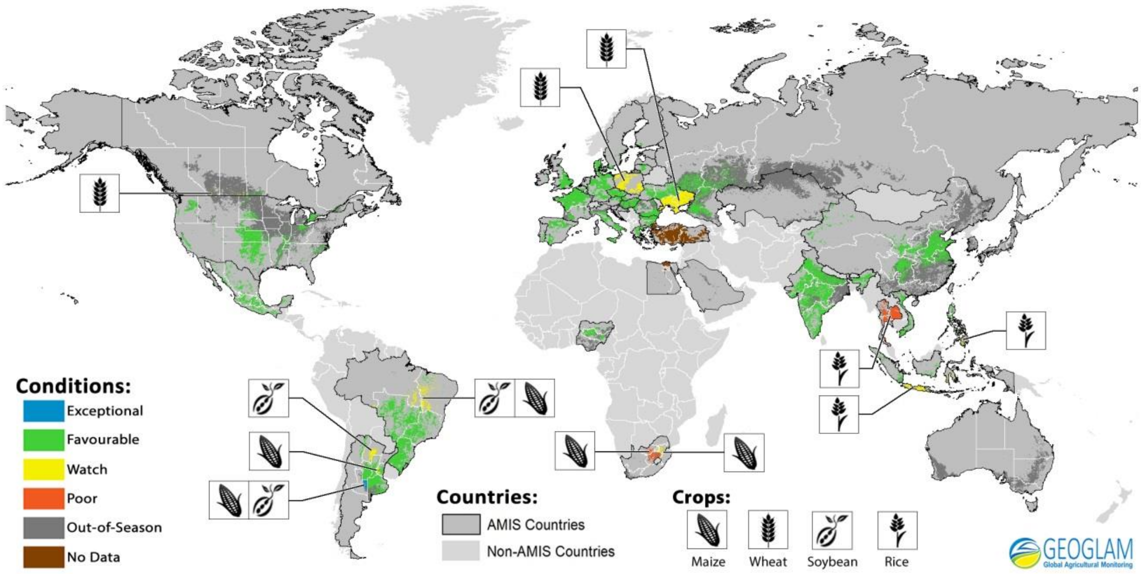
	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	***-3837***	***28***	***-4995***	***-20***	***-5584***	***-3720***	***21***	***77***	***15***	***-1432***
Total AMIS	***-1183***	***-210***	***-2647***	***230***	***914***	***-2854***	***-50***	***-308***	***825***	***-2200***
Argentina	400	-	-	-	400	-	-	-500	500	-
Australia	237	-	-63	-	-	12	-	12	-	-
Brazil	-	-	-50	-	50	-	-	-	1500	-1000
Canada	-	-	-33	-	-100	-	-100	-200	-	150
China Mainland	-	300	200	30	300	-	-500	-	-	-
Egypt	-	100	-	-	100	-	-	-	-	-
EU	-	-	-	-	-	-	-	-	-	-
India	-2410	-	-2480	-	-	-1500	-	-	-200	-800
Indonesia	-	-	-100	-	-	-	-	700	-	-1500
Japan	136	-300	-14	-100	-300	-	-	-	-	-
Kazakhstan	-142	90	-	-	484	234	-	145	25	61
Mexico	596	-200	96	-	-	-1716	500	-1416	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-	-	-	-	-	-	-	-	-
Rep. of Korea	-	-200	-200	-	-	-	-	200	-	-
Russian Fed.	-	-	-	-	-	-	-	-	-	-
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-	-3	-	-	116	-	116	-	-
Thailand	-	-	-	-	-	-	-	-	-	-
Turkey	-	-	-	300	-200	-	-	-	-	-
Ukraine	-	-	-	500	-500	-	-	-	-	-
US	-	-	-	-500	680	-	50	635	-1000	889
Viet Nam	-	-	-	-	-	-	-	-	-	-

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	***-431***	***-68***	***-91***	***-70***	***637***	***40***	***216***	***-1502***	***198***	***799***
Total AMIS	***-71***	***-98***	***-23***	***-98***	***578***	***106***	***220***	***-1511***	***375***	***793***
Argentina	-	-	-	-	-	-	-	-	-	-
Australia	-	10	9	-25	25	11	-	-	-	-
Brazil	-	-	-18	-	18	-	-	-1187	150	476
Canada	-	-	-	-	-	-	-	-12	-	25
China Mainland	-	-	-20	-	-	-	-	-	-	-
Egypt	-	-	-	-	-	-	-	-	-	-
EU	-	50	31	-25	85	-40	-	-40	-	-
India	-200	-	-	-	300	-	-	-	-	-
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-	-	17	-	-	-	-	-	-	-
Kazakhstan	28	-	-	10	15	20	-	20	-	-
Mexico	-	-	-	-	-	-	-	-	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	99	-100	-51	-	150	-	-	-	-	-
Rep. of Korea	-	-	-	-	-	-	-	-	-	-
Russian Fed.	-	-	35	-65	45	-110	-	-160	-	-50
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-50	-20	-	-	-	-	-	-	-
Thailand	-	-	-	-	-	-	120	40	-	70
Turkey	-	-	-14	-	-55	-	100	100	-	-
Ukraine	-	-	-	-	-	225	-	-	225	-
US	-	-	-	-	-	-	-	-272	-	272
Viet Nam	-	-	-	-	-	-	-	-	-	-

Numbers shown refer to changes in forecasts (in thousand tonnes) since the previous report.

Crop monitor

Crop conditions in AMIS countries (as of February 28th)



Crop condition map synthesizing information for all four AMIS crops as of February 28th. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. ***Crops that are in other than favourable conditions are displayed on the map with their crop symbol.***

Conditions at a glance

Wheat - In the southern hemisphere, the season has ended with mixed conditions. In the northern hemisphere, the winter crop is still mostly dormant in the majority of countries. Conditions are overall favourable at this early stage of the season. However, concerns continue in parts of Ukraine due to the poor establishment conditions in autumn, which also led to a reduction in planted area.

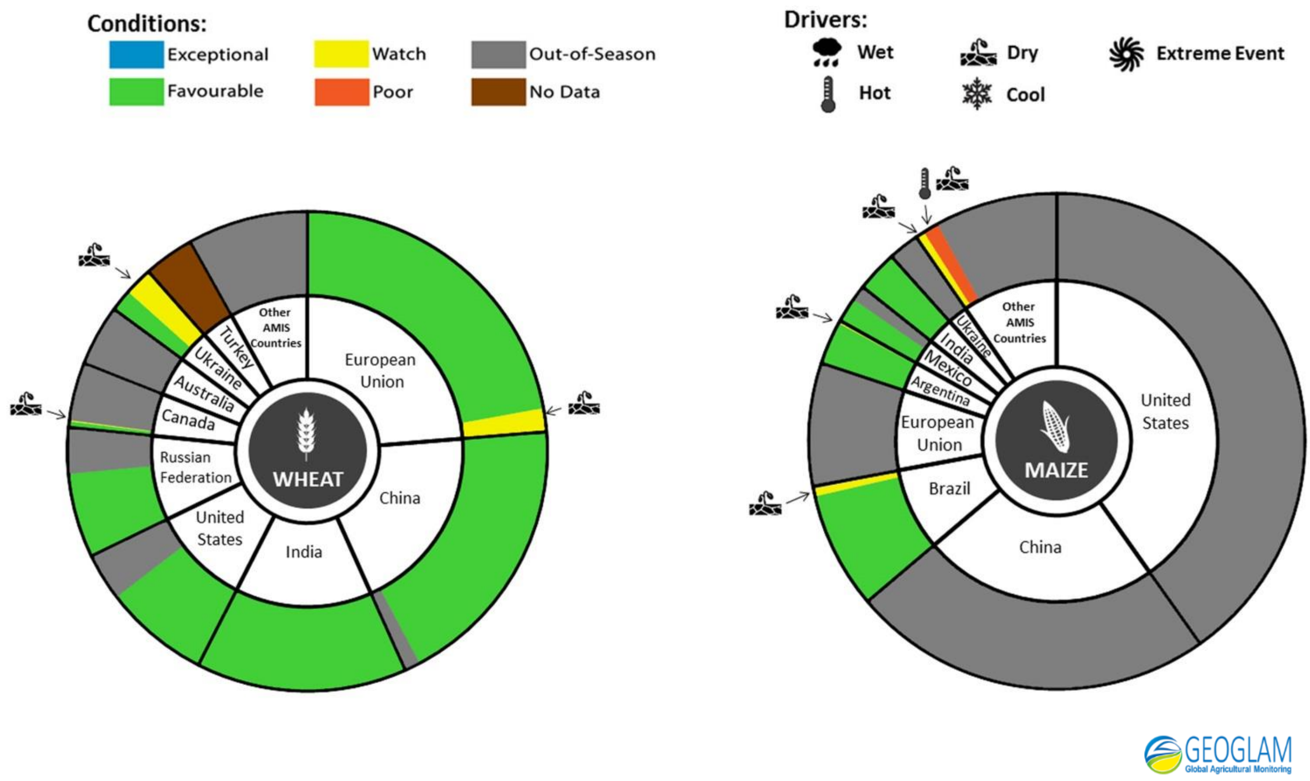
Maize - In the southern hemisphere conditions are mostly favourable with the exception of South Africa, where conditions remain poor over large parts of the country due to the severe drought attributed to El Niño. There are some concerns due to lack of rain in northern Brazil. The northern hemisphere is largely out of season with the exception of India and Mexico where conditions are favourable.

Rice - Conditions remain mixed in southeast Asia in part due to the impacts of El Niño which is having a severe impact on Thailand where conditions remain poor. Conditions are generally favourable in all other countries.

Soybeans - Conditions in the southern hemisphere remain favourable with only a few localized issues. The northern hemisphere is currently out of season.

From El Niño to a posible La Niña

The ongoing El Niño peaked in late 2015 and is now in decline, with forecast models indicating that the transition to neutral conditions will be complete by about June. Drought is expected to continue in Southeast Asia and across northern South America, including northeast Brazil. In Southern Africa, drought impacts on crop production are widespread and severe. This has led to the issuance of a joint statement on regional food insecurity by the World Food Program, FEWS NET, the European Commission, and FAO (http://www.fews.net/southern-africa/alert/february-2016). In southeast Brazil and Uruguay, abundant rainfall is expected to continue. In Central Asia, the expected above average precipitation has not materialized, and winter snow pack is now below normal. In North America, southern California has likewise not received the good rains often associated with El Niño, and remains in the grip of drought, accompanied by hot temperatures. Northern California has fared somewhat better, but not well enough to emerge from multi-year drought. The Great Lakes region is projected to continue to be warmer and drier than usual through spring. No El Niño impacts are anticipated in the main summer growing season of the U.S., Canada, Europe, and western Russia. Thereafter, neutral conditions could persist through the last quarter of 2016, or we could see transition to La Niña. Odds of reverting to El Niño are low. A review of past El Niño events and model projections for October-December 2016 puts the probabilities at approximately 50 percent for La Niña, 40 percent for neutral, and 10 percent for El Niño.

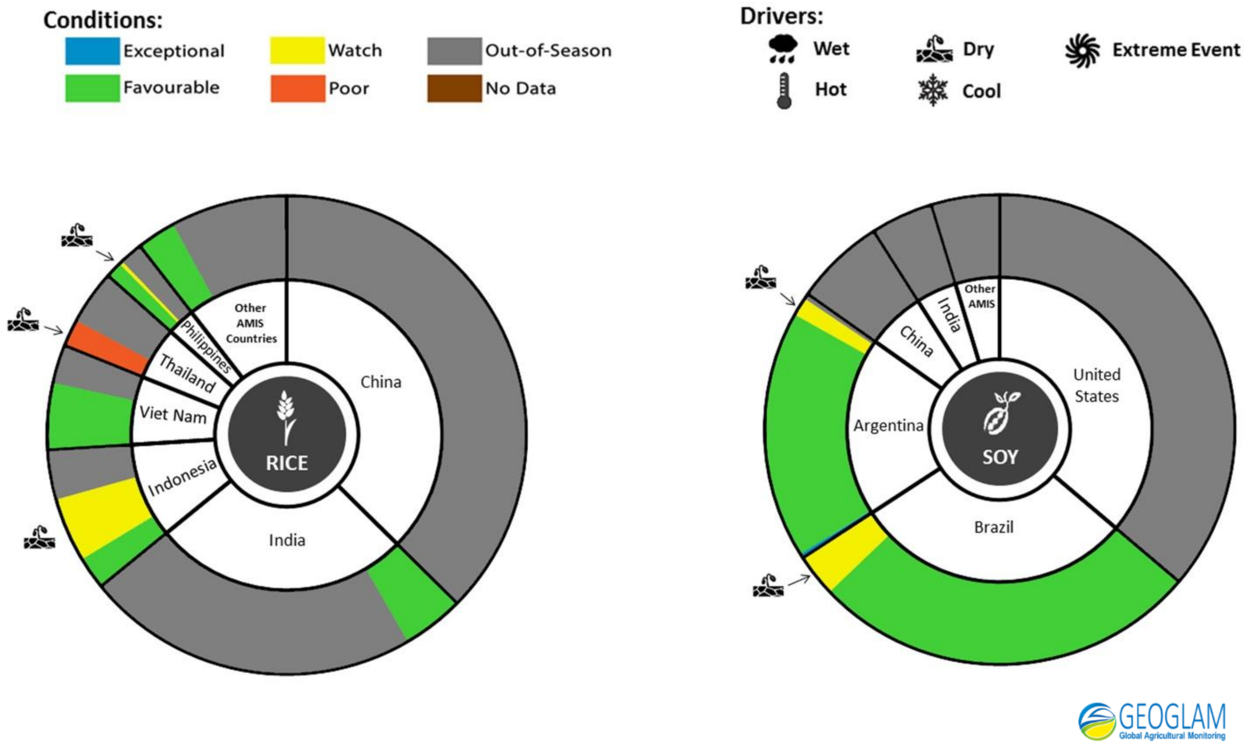


Wheat

In the **EU** conditions are generally favourable. Warmer-than-usual weather occurred in most of the winter wheat regions, while the western Mediterranean and Poland experienced substantially drier-than-usual conditions. In the **US**, conditions are favourable for the coming out of dormancy. In **China**, conditions are generally favourable as the crop starts to break dormancy in the northern growing regions, and jointing in the southwest region. In the **Russian Federation**, the crop is still dormant and warmer than usual conditions were observed throughout European Russia. Planted area is slightly down from last year. In **Canada**, conditions for winter wheat remain favourable in most of Manitoba, Ontario and Quebec. However, continued low snow cover in southern Alberta and southern Saskatchewan is resulting in an increased risk for winterkill in these areas. In **India**, conditions improved and the crop is in vegetative stages. In **Ukraine**, the crop began to break dormancy in the southern region, while the rest of the crop is still dormant. Concern continues in southern and eastern regions due to the poor establishment conditions in autumn as a result of severe dryness, which also led to reduced planted area. Winter damage will be assessed in the spring as the crop breaks dormancy.

Maize

In **Brazil**, conditions for the summer-planted crop (the larger producing season) are favourable and the crop is generally in planting to early vegetative stages. The spring-planted crop is mostly in reproductive through harvesting stages and conditions are mostly favourable except in the northeast where there was a lack of rainfall. In **Argentina**, the crop is mostly in grain filling stages and conditions are favourable in most regions. However, there is some local variability in conditions due to both excessive moisture from this month and residual issues over a lack of moisture from January. In **South Africa**, drought and heat stress have had a negative impact on the crop in the western parts of the main producing region where white maize (main food crop) is produced. In **India**, harvest continues and conditions are favourable. In **Mexico**, harvest is almost complete for the spring-summer crop and conditions are favourable for the end of season conditions. Planting is almost complete for the autumn-planted crop and conditions are favourable.



Rice

In **India**, conditions are favourable for the rabi crop, which is in the vegetative to reproductive stages. In **Thailand**, conditions for the dry season crop continue to be poor due to a water shortage attributed to El Niño and concern over pests and plant disease outbreaks. In **Viet Nam**, harvest is almost complete for the autumn-winter crop and end of season conditions are favourable owing to good weather conditions over the growing period. In **Indonesia**, the wet season crop is in the vegetative stage and conditions are mixed due to delayed monsoon rains caused by El Niño. In **the Philippines**, the dry season crop conditions are generally favourable except in the southern region due to insufficient rainfall. In **Brazil**, conditions are favourable owing to favourable weather conditions, although some planting delays have occurred due to excess rainfall. The crop is generally in reproductive to ripening stages. In **Argentina**, conditions are generally favourable and most areas are starting the flowering stage.

Soybeans

In **Brazil**, the crop is largely in vegetative to reproductive stages in the southern, north and northeast regions and is in ripening through harvesting stages in the rest of the country. The crop is in mixed condition in the north and northeast due to a lack of rainfall but favourable in the rest of the country. In **Argentina**, conditions remain mostly favourable but there are some areas affected by excess moisture from this month and lingering dry issues from January. The first crop is mostly in grain filling to maturity stages, and the second crop is in flowering to grain filling stages.

Pie chart description: *Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).*

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Policy developments

Wheat

- **Egypt** will maintain a wheat procurement price system, contrary to previous announcements [monthly market monitor December 2015]. Farmers will be paid EGP 2,800 per tonne (USD 357) for 2016/17.
- **Republic of Korea** released an updated list of adjustment tariffs and voluntary tariff rate quotas to facilitate continued imports of U.S. wheat.

Maize

- **China** may reduce the domestic maize price from CNY 2000 per tonne (USD 306) to align it with the import price of about CNY 1,600 per tonne (USD 245).
- **Brazil** announced that up-to 500,000 of maize will be auctioned from government stocks. A first auction was held on February 23 where about 26 percent of the 150,000 tonnes on offer were sold.

Rice

- **China** slightly reduced the 2016 minimum purchase price for early season indica rice to CNY 2,660 per tonne (USD 408) and maintained the 2016 minimum purchase prices at the 2015 levels for: mid and late season rice at CNY 2,760 (USD 423) and japonica at CNY 3,100 (USD 475).
- As of April 1 2016, companies in **India** will have to be registered with the Agricultural and Processed Food Products Export Development Authority to be authorized to export rice to the US.

Soybeans

- **China** approved the importation of Roundup Ready 2 Xtend soybeans produced by Monsanto.

Across the board

- **Argentina** opened emergency financial aid in the form of special credit lines and tax breaks for flood affected growers in several key farming provinces.
- **China** relaxed phytosanitary restrictions on grain imports from Kazakhstan and agreed phytosanitary protocols for US shipments of rice.
- A new crop insurance programme was announced in **India** that should replace the existing measures. More details will be reported when concrete plans are established.
- **Nigeria** set up a 5 percent interest rate for loans provided to farmers in order to stimulate the agricultural sector.
- **Russian Federation** suspended maize and soybeans imports from the US with effect from February 15 on phytosanitary grounds.
- The **US** is providing extended crop insurance scheme for farmers transitioning to certified organic agriculture, by allowing them to purchase insurance coverage that better reflects their product's actual value. The insurance scheme will affect wheat and rice crops.

AMIS Policy database

Visit the AMIS Policy database at: http://statistics.amis-outlook.org/policy/

*The **AMIS Policy database** gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.*

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Feb 2015 Average*	% Change	
		M/M	Y/Y
GOI	178	- 1.6%	- 15.7%
Wheat	162	- 1.6%	- 19.4%
Maize	175	+ 1.6%	- 5.0%
Rice	150	+ 0.3%	- 10.1%
Soybeans	169	- 3.3%	- 18.3%

*Jan 2000=100, derived from daily export quotations

Wheat

While there was little fresh fundamental news, world wheat markets remained weak during February, weighed by more than ample nearby supplies, mostly good prospects for 2016 crops and slow importer buying. Uncertainty about the outlook for sales to Egypt added to the negative tone at times. This followed the rejection by Egypt's import authorities of a number of shipments on the grounds that ergot contamination exceeded the permitted 0.05 percent threshold, most notably a 63,000 tonnes consignment from the EU (France). Subsequent General Authority for Supply of Commodities (GASC) tenders saw a lower than normal level of participation by traders and because of insufficient offers and/or high prices, several were cancelled in early February. Global price movements frequently reflected macro-economic developments as well as trends in non-grain sectors, especially crude oil. The IGC GOI wheat sub-Index fell by around two percent m/m, staying close to its lowest levels since mid-2010.

Maize

Despite comfortable spot availabilities and brighter prospects for upcoming harvests in South America, average maize export quotations were firmer during February, with underpinning stemming mainly from gains in Argentina and the Black Sea region. After earlier losses, fob prices in Argentina moved higher as exporters moved to execute existing heavy commitments. Black Sea quotations were firmer on generally strong overseas buying, with Ukraine registering large sales to China and India, as well as continued demand from the EU. Average US prices were broadly steady, with US dollar denominated fob quotations undercutting other origins late in the month.

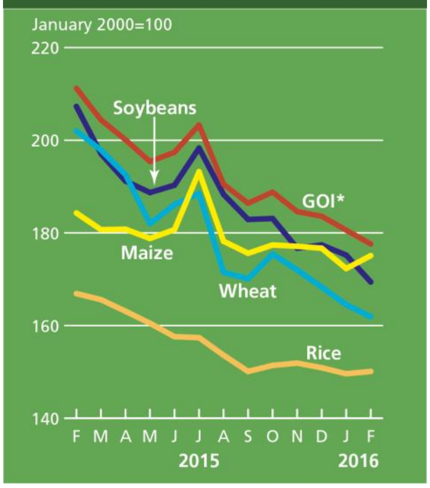
Rice

The IGC GOI rice sub-Index was fractionally higher m/m, but with trends at major Asian origins somewhat mixed. The Lunar New Year celebrations ensured that market activity was especially light in early February, with changes in prices often reflecting currency movements. More recently, an announcement from the Philippines' National Food Authority that it had deferred a decision on additional imports weighed, but speculation that Indonesia could enter the world market for more supplies provided support. There were also worries about the impact of above-average salinity levels on prospects for production and exports in Viet Nam.

Soybeans

Average world export prices eased further during February, pushing the IGC GOI sub-Index down by around 3 percent. Although US export values were mildly supported by currency movements and signs of a pickup in export demand, prospects for bumper crops and export availabilities in South America pressured throughout the month. In Argentina, reports of localised flooding in some provinces provided mild support, but Up River prices still eased on ample supplies and mostly beneficial crop weather. Offers in Brazil were also lower, but declines were capped by lengthy loading delays at the country's ports owing to earlier adverse weather and heavy export sales.

IGC Commodity Price Indices



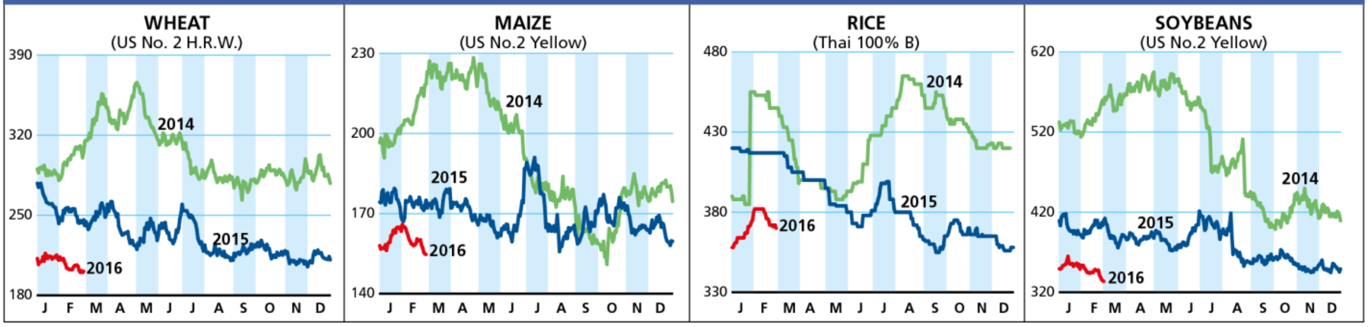
*GOI: Grains and Oilseeds Index

IGC commodity price indices

		GOI*	Wheat	Maize	Rice	Soybeans
		(.................. January 2000 = 100				....................)
2015	February	**211.2**	202.0	184.3	166.9	207.3
	March	**204.4**	197.9	180.7	165.6	197.1
	April	**200.1**	192.6	180.8	163.1	191.2
	May	**195.4**	182.0	178.8	160.5	188.7
	June	**197.4**	186.1	180.7	157.6	190.3
	July	**203.3**	188.5	193.2	157.4	198.3
	August	**190.5**	171.5	178.2	153.6	188.3
	September	**186.4**	170.1	175.6	150.1	182.9
	October	**188.8**	175.4	177.4	151.4	183.1
	November	**184.6**	172.0	177.1	151.9	176.7
	December	**183.6**	168.3	176.7	150.9	177.4
2016	January	**180.6**	164.5	172.3	149.6	175.2
	February	**177.6**	161.9	175.1	150.1	169.4

Selected export prices and price indices

Daily quotations of selected export prices (USD/tonne, 2014-2016)



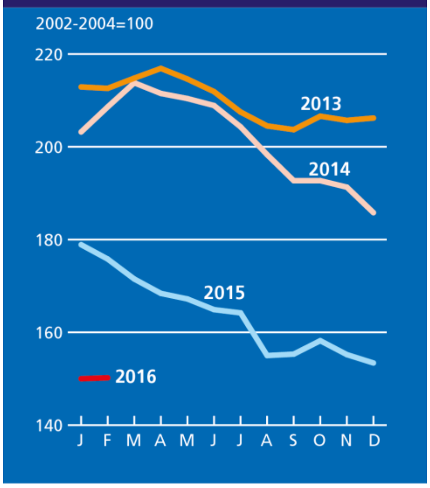
Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
	(. . . . USD/tonne . . . .)						
Wheat (US No. 2, HRW)	29-Feb	201	205	213	246	-2.1%	-18.3%
Maize (US No. 2, Yellow)	29-Feb	155	160	166	175	-3.4%	-11.6%
Rice (Thai 100% B)	29-Feb	370	372	380	417	-0.5%	-11.3%
Soybeans (US No.2, Yellow)	29-Feb	334	348	354	412	-4.0%	-19.1%

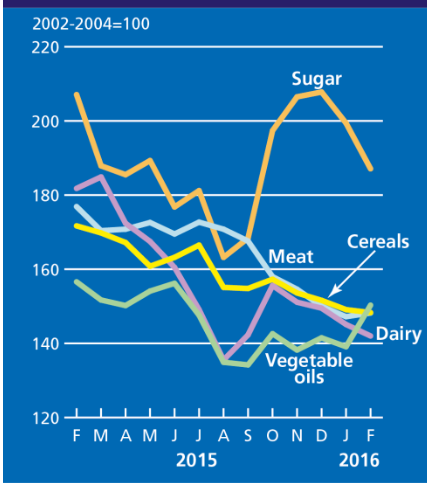
The **FAO Food Price Index** averaged 150.2 points in **February 2016**, nearly unchanged from January, but 25.6 points (14.5 percent) below February 2015. The most outstanding development last month was a surge in vegetable oil quotations, which, along with a small recovery in meat prices, more than offset declining cereal, sugar and dairy prices.

http://www.fao.org/worldfoodsituation/foodpricesindex/en/

FAO Food Price Index



FAO Food Commodity Price Indices



FAO food price indices

		Food Price Index	Meat	Dairy	Cereals	Oils and Fats	Sugar
		(. . . . . 2002-2004 = 100 . . . .)					
2015	February	**175.8**	176.9	181.8	171.7	156.6	207.1
	March	**171.5**	170.4	184.9	169.8	151.7	187.9
	April	**168.4**	170.8	172.4	167.2	150.2	185.5
	May	**167.2**	172.6	167.5	160.8	154.1	189.3
	June	**164.9**	169.5	160.5	163.2	156.2	176.8
	July	**164.2**	172.7	149.1	166.5	147.6	181.2
	August	**155.0**	170.8	135.5	155.1	134.9	163.2
	September	**155.3**	167.6	142.3	154.8	134.2	168.4
	October	**158.2**	158.0	155.6	157.3	142.6	197.4
	November	**155.2**	154.6	151.1	153.6	138.2	206.5
	December	**153.4**	150.0	149.5	151.6	141.5	207.8
2016	January	**150.0**	147.2	145.1	149.1	139.1	199.4
	February	**150.2**	148.2	142.0	148.3	150.3	187.1

Futures markets

Futures Prices – nearby

	Feb-16 Average	% Change M/M	Y/Y
Wheat	169	-2.8%	-11.0%
Maize	143	0.4%	-5.3%
Rice	239	-3.1%	3.4%
Soybeans	320	-0.9%	-12.2%

Source: CME

Historical Volatility – 30 Days, nearby

	Monthly Averages Feb-16	Jan-16	Feb-15
Wheat (Nearby)	20.8	22.3	25.1
Maize (May)	14.0	18.5	24.3
Rice (Nearby)	27.5	26.7	26.0
Soybeans (Nearby)	13.7	14.7	20.4

Futures prices

Prices for wheat, maize, soybeans and rice were mostly unchanged m/m in fairly lackluster trade, despite slight easing of USD against some currencies and high short-term volatility in crude oil prices. The typical February holding pattern could be partly attributed to the anticipation of the USDA March 1 planting intentions report, often cited as the most important report of the year. Analysts are said to be expecting declines in winter wheat and maize plantings with some pick-up in soybeans as well as sorghum, which has seen soaring Chinese demand. Although some crop problems or reductions were noted in Ukraine, India, and South Africa, elsewhere supplies remained ample. Egypt, the world's largest wheat importer, announced that it had sufficient wheat supplies until June, and France projected carryover wheat stocks for 2015/16 at the largest level in 17 years. Prices for wheat, maize and soybeans were lower y/y while rice prices were moderately higher.

Volumes and volatility

Volumes for maize and soybeans were down modestly and higher for wheat by 28 percent m/m. Volumes for all three commodities were lower y/y. Implied Volatility for maize and soybeans exhibited very low levels of volatility at around 13, while wheat was slightly higher at around 19. Historical volatility reflected similarly low levels.

Basis levels

Basis levels for wheat, maize and soybeans were mixed to unchanged in the interior, following months of steady rises after harvest. Basis levels were lower at export points, particularly for maize, reflecting lagging commitments (down 25, 21, and 10 percent for maize, wheat and soybeans respectively y/y) and continued weakness in interior transportation rates. Wheat basis levels into northeastern mills, which were quoted at high premiums to March futures price last month, eased to around March price.

Forward curves

Forward curves for wheat, maize and soybeans exhibited mostly unchanged formation in response to unremarkable basis levels for all three commodities. Soybeans forward curves which exhibited backwardation during the January expiration month showed no such upward momentum for the March contract in advance of first notice day of deliveries. Otherwise forward curves were in a holding pattern of upward sloping configurations for all three commodities.

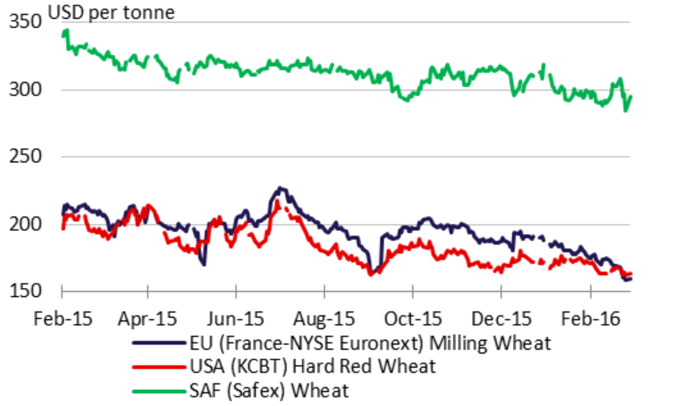
Investment flows

Managed money executed a zigzag pattern of buying and selling, ending up with larger net short positions in wheat, maize and soybeans m/m. Although commercials were often net buyers, since August 2015 for wheat and November 2015 for maize and soybeans, both managed money and commercials have maintained net short positions to varying degrees. Swaps dealers, known for their passive "rolling forward" strategies, comprise the largest net long positions for all three commodities. This open interest configuration of net shorts by commercials and managed money in all three commodities prior to the March 1 planting intentions has no precedent. Although some re-balancing among the major market participants prior to the report is possible, the current configuration may potentially create a liquidity void if there are any bullish surprises in the report.

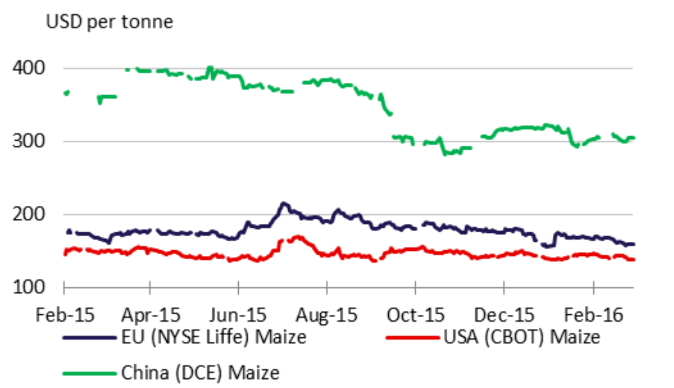
Market indicators

Daily quotations from leading exchanges - nearby futures

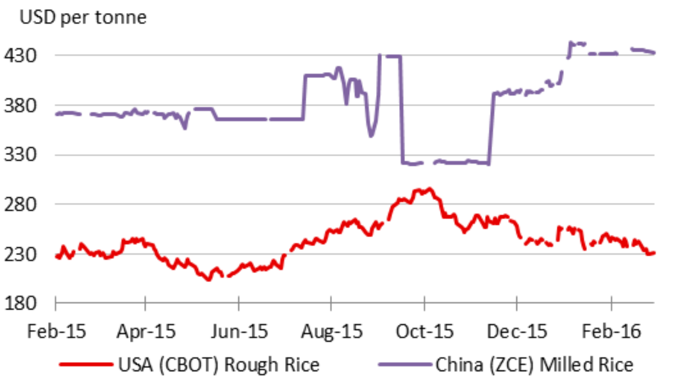
Wheat



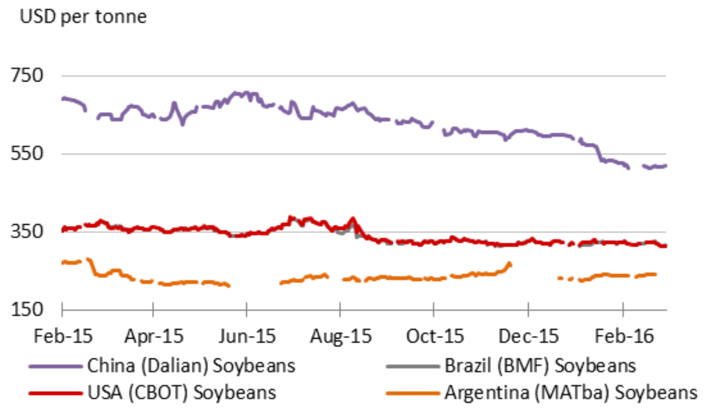
Maize



Rice

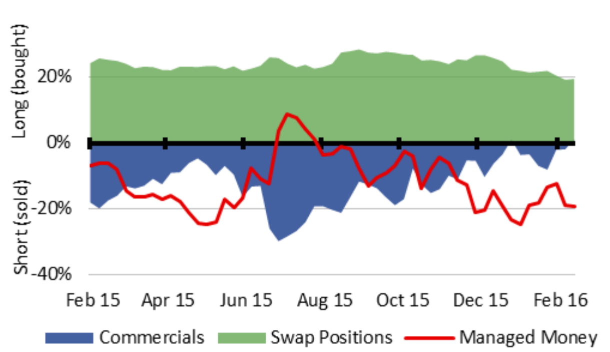


Soybeans

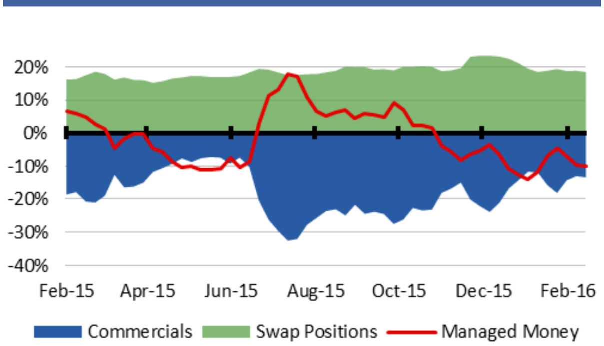


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

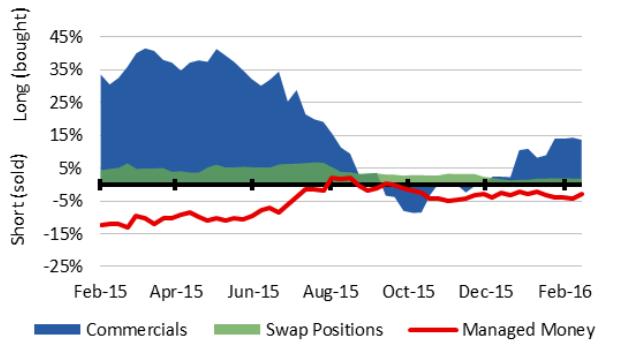
Wheat



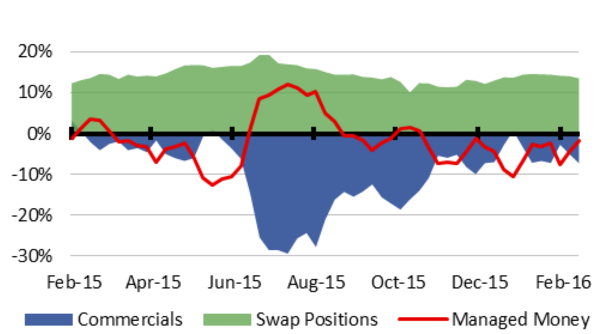
Maize



Rough Rice

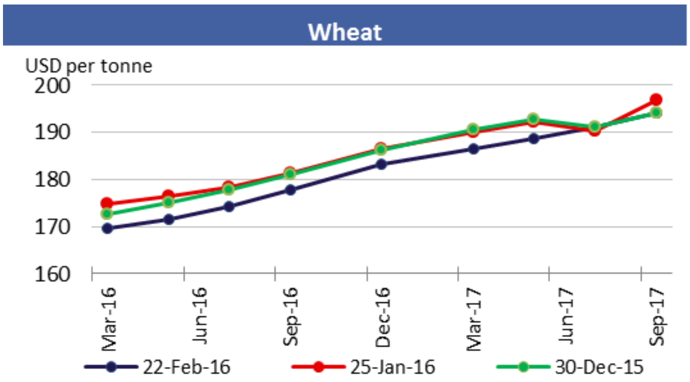


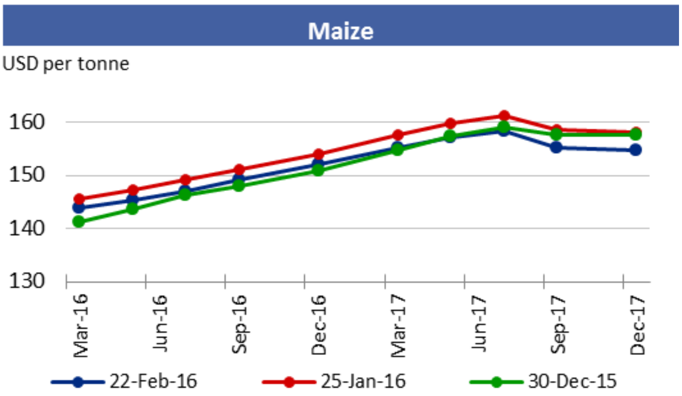
Soybeans

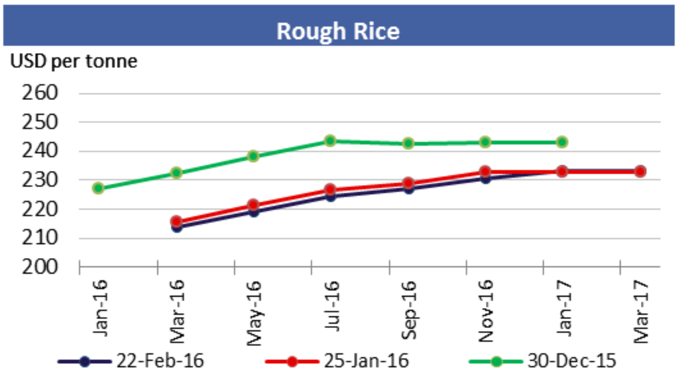


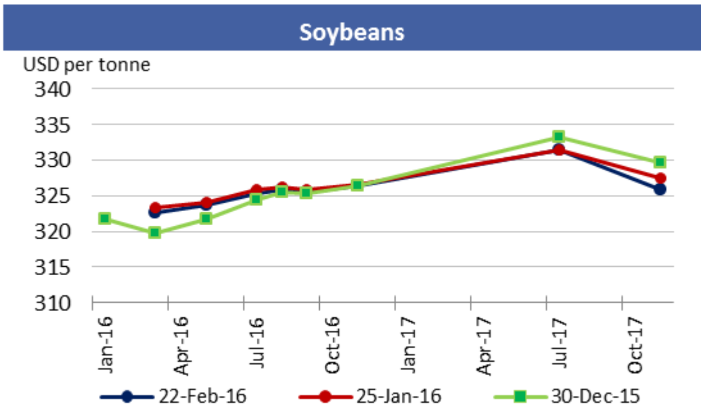
*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves

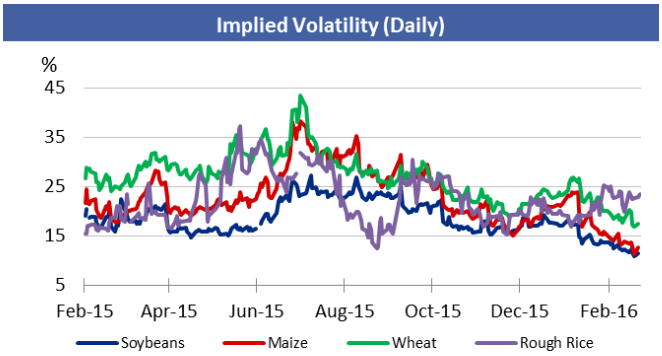


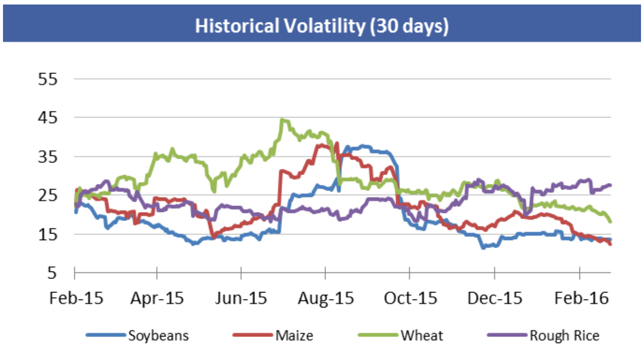






Historical and Implied Volatilities





AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: http://www.amis-outlook.org/amis-monitoring/indicators/

For more information on technical terms please view the Glossary at the following link: http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

Monthly US ethanol update

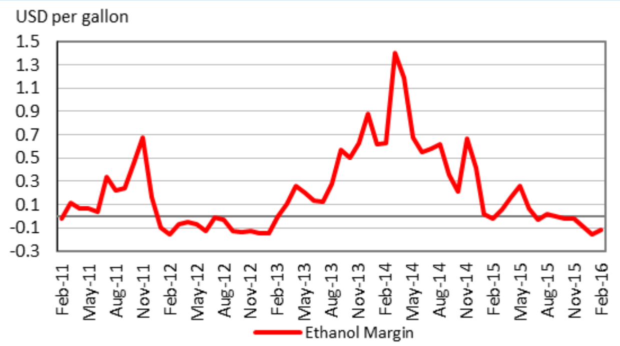
- **Ethanol production margins** remain weak with improvements in the price of ethanol partially offset by a small increase in the cost of maize.
- The pace of **ethanol production** is up slightly from last month and remains above 15 billion gallons on an annualized basis despite continued weak margins.
  - With just 29 days in February, production is down from last month at 1,206 million gallons, but well above year ago levels both in total (including the extra day of production) and on an annualized basis.
  - In February of 2015, the pace of ethanol production was 14.7 billion gallons on an annualized basis.
- The **spread between ethanol prices and the RBOB gasoline price** widened in February with ethanol now nearly 140 percent of the price of gasoline when it has typically sold at a discount.
- The USDA released its first estimate of **maize use for ethanol** for the 2016/17 marketing year, setting use at 132.72 million tons, unchanged from the prior year. The USDA forecast the maize price for the 2016/17 crop at USD 135.82 per tonne.

Spot prices IA, NE and IL/eastern *corn belt* average	**Feb 2016***	**Jan 2016**	**Feb 2015**
Maize price (USD per tonne)	140.2	138.5	147.9
DDGs (USD per tonne)	143.5	143.3	197.3
Ethanol price (USD per gallon)	1.33	1.28	1.34
Nearby futures prices CME, NYSE			
Ethanol (USD per gallon)	1.39	1.36	1.43
RBOB Gasoline (USD per gallon)	1.1	1.1	1.6
Ethanol/RBOB price ratio	139%	122%	89%
Ethanol margins IA, NE and IL/eastern *corn belt* average, USD per gallon)			
Ethanol receipts	1.33	1.28	1.34
DDGs receipts	0.40	0.40	0.55
Maize costs	1.30	1.28	1.37
Other costs	0.55	0.55	0.55
Production margin	-0.11	-0.15	-0.02
Ethanol production (million gallons)			
Monthly production total	1,206	1,284	1,125
Annualized production pace	15,175	15117	14,666

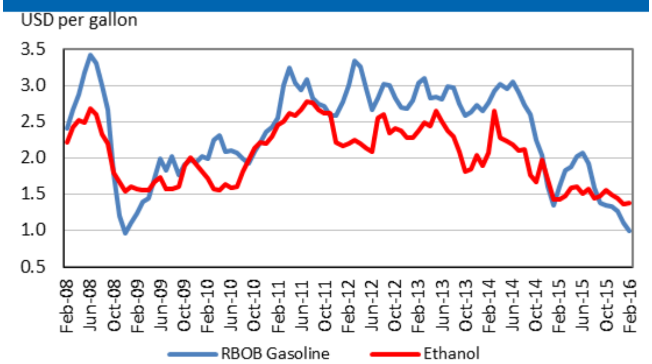
Based on USDA data and private sources

* Estimated using available weekly data to date.

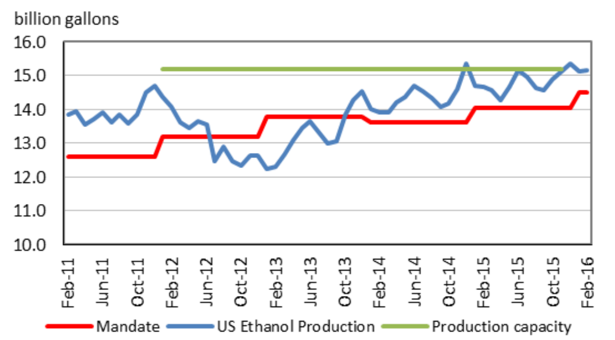
Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)



Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price
(Spot prices)

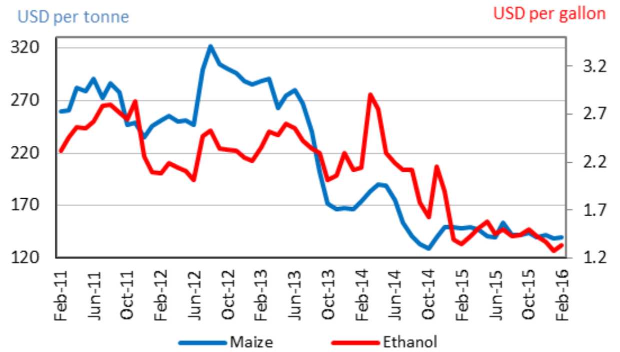


Chart and tables description

Ethanol Production Margins: *The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs*

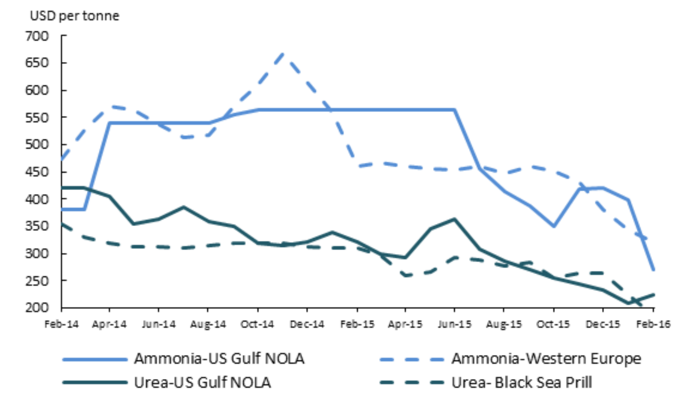
Ethanol Production Pace, Capacity and Mandate: *Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.*

DDGs: *By-product of maize-based biofuel production, commonly used as feedstuff.*

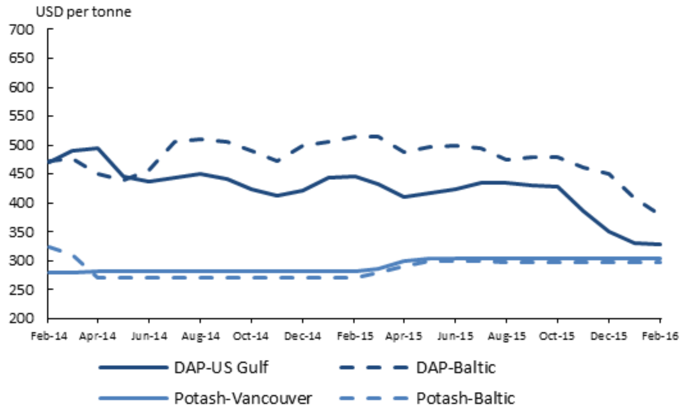
RBOB: *Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).*

Fertilizer outlook

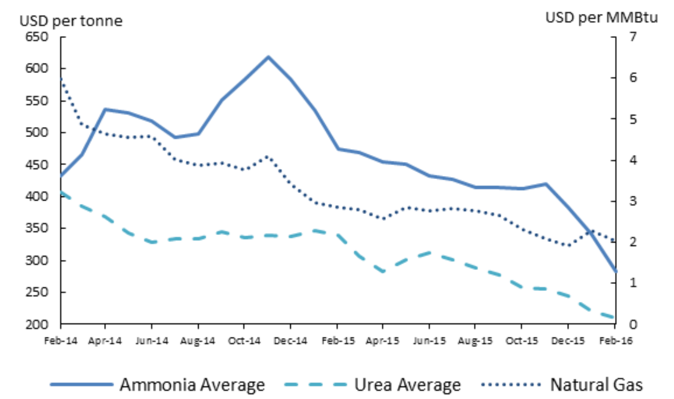
Ammonia and Urea
(Spot prices)



Potash and Phosphate
(Spot prices)



Ammonia Average, Urea Average and Natural Gas
(Spot prices)



- **Ammonia** m/m prices in both the US Gulf and Western Europe have continued to decrease and have reached their lowest level in the last 12 months.
- In the Black Sea, **urea** m/m price continued decreasing to reach its lowest level of the last 12 months. In contrast, in the US Gulf, the price increased 7.1 percent and experienced high m/m fluctuations (volatility).
- Both the US Gulf and Baltic **DAP** prices also reached their lowest level in the last 12 months. Major phosphate fertilizers consumers, particularly India and Brazil, have decreased their imports as their currencies weakened against the US dollar.
- **Potash** prices continued to show no change since their last increase in June of last year.
- Overall, average prices of **urea** and **ammonia** have continued to follow their downward trend, reaching their lowest value of the last 12 months. This is partly explained by a general oversupply situation and a weak demand in developing countries.
- **Natural gas** prices slightly decreased due to combined effects of oversupply and weak consumption amid a warm El Niño winter.

Region	February average*	February std. dev	% change previous month	% change previous year	12-month high	12-month low
Ammonia-US Gulf NOLA	271.0	0.0	-32.0%	-52.0%	565.0	271.0
Ammonia-Western Europe	322.5	3.5	-6.3%	-29.9%	466.0	322.5
Urea-US Gulf	225.0	28.3	7.1%	-30.0%	364.6	210.0
Urea-Black Sea	186.5	4.9	-16.7%	-39.8%	310.0	186.5
DAP-US Gulf	327.5	3.5	-0.9%	-26.7%	447.0	327.5
DAP-Baltic	380.0	0.0	-7.1%	-26.0%	515.0	380.0
Potash-Baltic	305.0	0.0	0.0%	9.6%	300.0	272.0
Potash-Vancouver	298.0	0.0	0.0%	8.2%	305.0	282.0
Ammonia Average	282.8	2.0	-17.3%	-40.5%	475.0	282.8
Urea Average	209.1	10.0	-5.7%	-38.5%	340.0	209.1
Natural Gas	2.0	0.1	-0.1%	-28.7%	2.8	1.9

Source: IFPRI

Chart and tables description: * Estimated using available weekly data to date.
Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.
Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.
Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US GUlf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices. Natural Gas: Henry Hub Natural Gas Spot Price from ICE. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers. DAP: Diammonium Phosphate.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of **"World Supply and Demand"** reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion **"FAO-AMIS"**). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2014 production is allocated to the 2014/15 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2014 production also includes secondary crops gathered in 2015. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2014) with production of the southern hemisphere of the second year (2015 production) in the corresponding 2014/15 global marketing season. For soybeans, this latter method is used by all three sources.

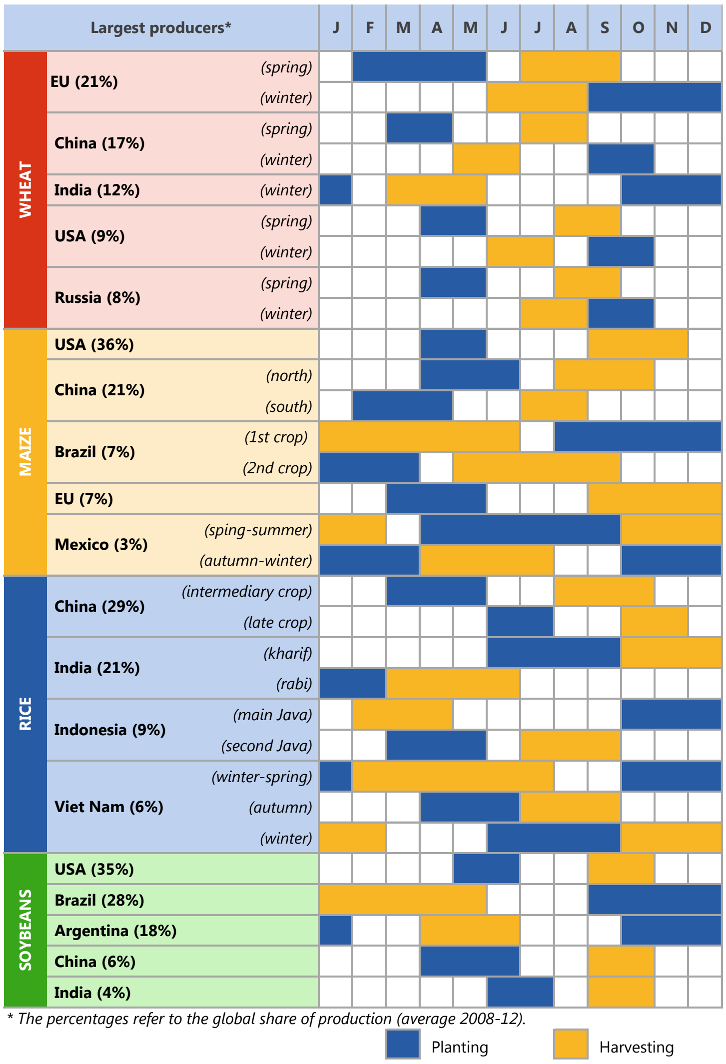
Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses ("other uses" comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country's national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country's national marketing year.

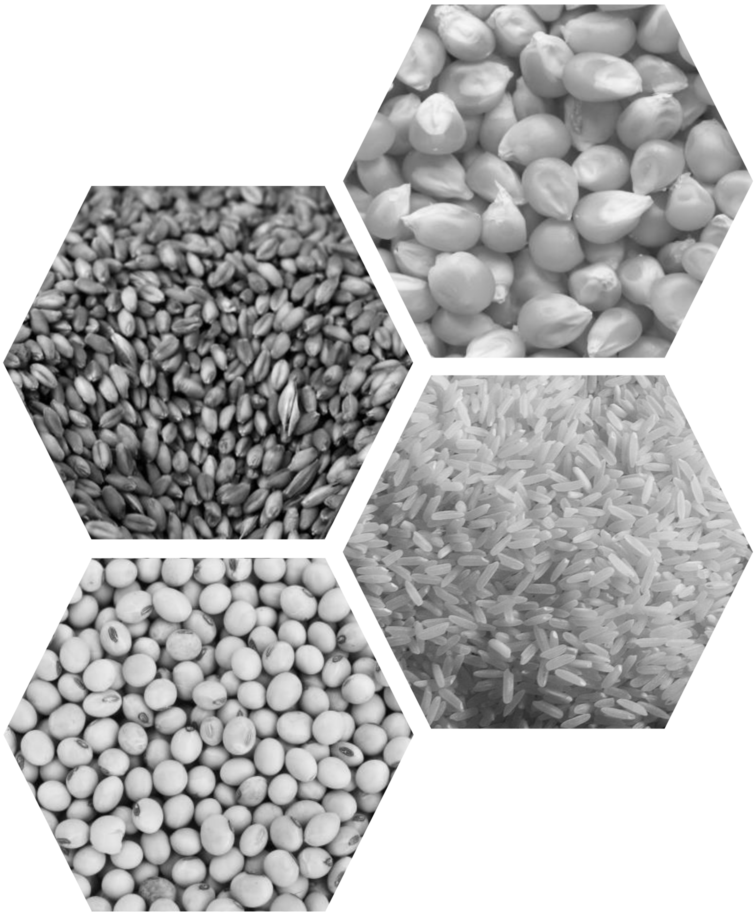
AMIS Crop Calendar



* The percentages refer to the global share of production (average 2008-12).

Main sources
Bloomberg, CFTC, CME Group, FAO, GEOGLAM, Inter-Continental Exchange, IGC, Reuters, USDA, US Federal Reserve, World Bank

2016 Release Dates
04 February, 03 March, 07 April, 05 May, 02 June, 07 July, 08 September, 06 October, 10 November, 08 December



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